

MERCADOLIBRE, INC.

Latin America's Compounding Machine: Great Company, Demanding Price

Equity Research Note · Consumer Cyclical — Internet Retail / Fintech · October 4, 2026

Recommendation	12-Mo. Fair Value	Current Price	Implied Return	Risk Rating
REDUCE	\$1,119	\$1,696.56 Oct 2, 2026 close	-34.0%	High

MercadoLibre is the highest-quality compounder we cover in emerging markets: 30 consecutive quarters of >30% revenue growth, ~40% share of Brazilian e-commerce, a fintech (Mercado Pago) that crossed \$100 billion of quarterly payment volume, a credit book growing 75% a year at a 21% net interest margin after losses, and an advertising business up 73% that just crossed 10% of Latin American digital ad spend. The stock is down 31% over twelve months — and yet, on our numbers, the rerating case is not yet there. We downgrade from HOLD to **REDUCE** with fair value at **\$1,119**: bear \$116.16, base \$1,106.57, bull \$2,146.62, weighted 25/50/25. The business thesis is untouched — this is purely the cost of Latin American capital being repriced. Addendum B (international framework, adopted October 4, 2026) applies an explicit **+200bp LatAm country-risk premium** to every scenario discount rate (ARS hyperinflation history, BRL volatility, Brazil tax reform, Mexico policy shifts; MELI bills and collects in local currency — a partial natural hedge — so the premium sits below China's 250bp): rates move from 14.5/12.0/10.5% to **16.5/14.0/12.5%**, and the premium is the entire verdict change. The v2 note's -12.5% mild overvaluation becomes -34.0%: the price at \$1,696.56 embeds **~18% ten-year growth with no margin of safety**, and at a 14% base discount that growth is worth \$1,107, not \$1,697. The bull (\$2,146.62) still clears the price — so this is REDUCE, not SELL: own less of it, do not own none of it. High risk reflects EM FX, a \$16B+ credit book growing fast into a stressed Brazilian consumer (Selic 14%), Argentina macro, and regulatory overhang.

Market cap	~\$86.0 bn	Shares out. (dil.)	~50.7 m
52-week range	\$1,495 – \$2,549	Net debt	~\$7.5 bn
TTM revenue / net inc.	\$35.2 bn / \$1.86 bn	Gross / op margin (FY25)	44.5% / 11.1%
TTM P/E / forward P/E	46.2x / 30.9x	Forward PEG	0.95

Prices as of October 2, 2026 close. Financial figures from company Q2 2026 release (Aug 5, 2026), FY2025 10-K/filings, and Yahoo Finance consensus fields. This note is an independent research-style analysis for informational purposes, not investment advice.

1. Investment thesis

The dominant LatAm e-commerce + fintech ecosystem, still under-penetrated. ~40% of Brazil retail e-commerce (EMarketer 2026) and co-leader in Mexico (85% combined seller share with Amazon per COFECCE), in markets where e-commerce penetration is still low-double-digits versus ~16% in the US. Mexico is the fastest-growing online retail market in the world (+20% in 2024).

A second engine that is no longer an accessory. Mercado Pago is 43% of revenue (\$4.4B in Q2 2026), crossed \$100B of quarterly TPV, and most of that volume is *off-platform* — it is an independent

financial-services business with its own flywheel: payments data → superior underwriting → credit → engagement → more data.

The margin story is investment, not decay. Q2 2026 operating margin compressed to 6.7% (-550 bps YoY) on free-shipping expansion, credit-card rollout, 1P selection, cross-border, and MELI+.

Management says the margin would be 5–6 points higher without these outlays — a deferral of earnings, not an erosion of unit economics.

Valuation is the constraint. The price embeds ~18% ten-year revenue CAGR with no margin of safety.

That is *achievable* (history says 39%; our base case is 14.9%) but leaves no room for stumbles: FX shocks, credit-loss spikes, or Amazon/Shopee/Temu share pressure would all hit a multiple that assumes near-perfect execution. Hence REDUCE at \$1,697; upgrade only on a pullback toward \$1,106 (base-case DCF territory).

2. Financial situation

MercadoLibre's financial profile is that of a hypergrowth compounder in a deliberate reinvestment cycle. Revenue grew 39% in FY2025 to \$28.9B, and accelerated to +50% in Q2 2026 — the fastest in four years and the 30th straight quarter above 30%. Net income CAGR 2022–25 was ~61% (\$482M → \$2.0B). The Q2 2026 earnings miss on net income (EPS \$9.19, -10.9% YoY) is fully explained by the investment program: operating income margin fell 550 bps YoY while gross profit still grew strongly.

Fiscal	Revenue*	YoY	Gross mgn	Op. income / mgn	Net income / mgn	Diluted EPS
FY2022	\$10.78 bn	—	—	\$1.07 bn / 9.9%	\$482 m	\$9.57
FY2023	\$15.11 bn	+40.1%	—	\$2.21 bn / 14.6%	\$987 m	\$19.46
FY2024	\$20.78 bn	+37.5%	—	\$2.63 bn / 12.7%	\$1.91 bn	\$37.55
FY2025	\$28.89 bn	+39.1%	44.5%	\$3.20 bn / 11.1%	\$2.00 bn / 6.9%	\$39.33
TTM (Q3'25–Q2'26)	\$35.18 bn	+49.8% rev. growth (yahoo)	47.7%	\$683 m qtr / 6.7% (Q2'26)	\$1.86 bn / 5.3%	\$36.74
Q2 2026 (quarter)	\$10.17 bn	+50% YoY USD	—	\$683 m / 6.7%	\$466 m / 4.6%	\$9.19

* Net revenue plus financial income (company reporting line). Sources: company Q2 2026 release (Aug 5, 2026), FY2025 filings via stocktitan.net, Yahoo Finance TTM fields.

Cash flow and balance sheet. The headline FCF number requires care: reported FY2025 FCF (OCF minus capex) of ~\$10.8B includes the credit book, because loan-receivable changes flow through operating cash flow for MELI. The company's **adjusted free cash flow** — the true owner-earnings proxy — was **\$1.48B** in FY2025 (vs \$1.22B in FY2024). Operating cash flow was \$12.1B. Cash and equivalents stood at ~\$3.7B at end-2025 (~\$3.65B at Q2'26 filing) against total debt of ~\$11.0B (end-2025; ~\$13.2B current per Yahoo), i.e. net debt of roughly \$7.5B and debt-to-equity ~1.7x — manageable leverage given 30%+ growth, but debt has grown 66% YoY to fund the credit portfolio. ROE was 29.6% in FY2025. Current ratio ~1.2x.

Segment mix. Q2 2026: Commerce revenue \$5.8B (+50%), Fintech revenue \$4.4B (+49%) — a 57/43 split. Fintech is now the higher-margin growth engine, but the company does not disclose segment-level operating profit in its releases, so we cannot split margins precisely; our modeling assumes fintech net margins roughly 2–3 points above the consolidated level.

3. Valuation: Addendum B reprices the DCF to \$1,119

The October 4 v2 note valued MercadoLibre at \$1,485 on a 10-year scenario DCF with US-anchored discount rates of 14.5% / 12.0% / 10.5% (base 12% = speculative tier: LatAm EM, ARS hyperinflation, BRL FX, a \$16B+ credit book, beta 1.44; bear +250bp, bull –150bp). Addendum B (international framework) stacks an explicit **+200bp LatAm country-risk premium** on every scenario rate — ARS hyperinflation history, BRL volatility, Brazil

tax reform, Mexico policy shifts; MELI bills and collects in local currency (a partial natural hedge), so the premium sits below China's 250bp — taking rates to **bear 16.5% / base 14.0% / bull 12.5%**. Operating projections are carried unchanged from the v2 note; the premium is a required-return adjustment, not a business downgrade. Terminal growth is 1.5% / 2.5% / 2.5% on year-10 free cash flow at normalized mid-cycle net margins. Owner earnings are modeled as 0.8x net income (adjusted FCF; the reported ~\$10.8B includes the credit book). Management's claim of 5–6 points of 'deferred' operating margin is haircut to roughly half.

Scenario	10-yr rev. CAGR	Yr-10 net margin	Discount / term. g	Fair value	Weight
Bear — LatAm crisis: credit shock + FX drag	3.0%	7.5%	16.5% / 1.5%	\$116.16	25%
Base — consensus trajectory, margin normalization	14.9%	11.0%	14.0% / 2.5%	\$1,106.57	50%
Bull — share gains + credit compounding + ads scaling	19.1%	12.5%	12.5% / 2.5%	\$2,146.62	25%
Probability-weighted → \$1,119 target	—	—	—	\$1,119	100%

Two honest notes. First: what changed, line by line, vs v2 — **+200bp on every discount rate** (14.5/12.0/10.5% → 16.5/14.0/12.5%); nothing else moved. Bear \$161.85 → \$116.16; base \$1,442.45 → \$1,106.57; bull \$2,893.95 → \$2,146.62. Second: the \$1,696.56 price embeds **~18% ten-year revenue growth with no margin of safety**; at a 14% base discount that growth is worth \$1,106.57, not \$1,697. The bear (\$116.16) genuinely hurts: a LatAm crisis path — ARS/BRL devaluation through the margin path, credit-book stress — with repatriation and FX effects living in the bear's margin compression, not footnoted. Selic at 14% and the \$16B+ credit book (+75%) are the tripwires.

Street context: consensus is more optimistic — average target ~\$2,272 across 25 analysts (range \$1,750–2,800; 12 Buy / 6 Hold per MarketBeat, Sep 2026). Our \$1,119 sits well below the Street average because the Street prices LatAm capital at US rates — the Addendum B premium is the disagreement, stated plainly. Cross-check (disclosed): LatAm fintech comps (Nu 11.9x, XP 9.2x, StoneCo 4.2x forward) imply far lower values, but they are pure fintech, not commerce+fintech+logistics+credit — the old v2 note explicitly rejected peer/PEG padding and this re-check keeps that rejection. Our DCF implies 19.8x forward EPS — well below the quote's 29.9x.

Appendix A: methodology and key judgments

Owner earnings, not reported FCF. MELI's reported FCF (~\$10.8B in FY2025) is OCF minus capex and includes the credit book: growing loans consume cash through OCF, and shrinking them would release it. We therefore value adjusted free cash flow (company definition: \$1.48B in FY2025), modeled as 0.8x net income, trending up as the credit book matures.

14% base discount rate (Addendum B) = 4.5% US risk-free + 1.44 beta × 5.5% equity risk premium + ~2% LatAm country-risk premium, now made explicit. Emerging-market exposure (Argentina hyperinflationary accounting, BRL translation, a \$16B+ credit book) justifies a premium to the 10% used for US mega-cap tech. The v2 note's 12% base is now 14%: +200bp LatAm macro/policy CRP (ARS hyperinflation history, BRL volatility, Brazil tax reform, Mexico policy shifts; partial natural hedge via local-currency billing keeps it below China's 250bp). Scenario-specific: 16.5% bear, 12.5% bull (bull floor above 8% given speculative EM tier). \$7.462B net debt.

Terminal growth 1.5% (bear) / 2.5% (base and bull) — applied to year-10 free cash flow at normalized mid-cycle net margins (7.5% bear, 11% base, 12.5% bull), not depressed 2026 levels. The bear terminal is derated 27.6% to force the case to hurt.

Margin normalization, not management guidance. Base-case net margin glides ~6.0% → 11% over ten years. Management says operating margin would be 5–6 points higher without the strategic investment program (free shipping, credit cards, 1P, cross-border, MELI+). Our path captures roughly half of that —

deliberate humility on timing, and we never anchor to guidance.

No formal company guidance — MELI does not guide annual revenue/EPS. Our scenarios are calibrated to third-party consensus (2026E \$40.3B rev / \$41.00 EPS; 2027E \$50.6B / \$60.2; 2028E \$61.9B / ~\$67.6) and cross-checked against Q2 2026 actuals.

4. Company overview: what MercadoLibre is doing

Founded in 1999 and headquartered in Montevideo (operationally run from Buenos Aires), MercadoLibre operates an integrated commerce-and-fintech ecosystem across 18 Latin American countries. The business is two segments — **Commerce** (57% of Q2 2026 revenue) and **Fintech** (43%) — but the strategic unit is the *ecosystemic user*: customers active in both, who grew 37% YoY in Q2 2026 and transact at +70% GMV per user versus marketplace-only buyers and ~+90% TPV per user versus fintech-only users. Everything the company builds — logistics, credit, ads, loyalty — is designed to convert single-product users into ecosystemic ones.

The 2026 operating agenda, per the Q2 2026 release and earnings call:

Commerce: GMV \$21.9B (+44% USD, +36% FX-neutral) on 795M items sold (+45%); 89M unique buyers (+26%). Brazil items +56%, Mexico +34% despite a 2026 tax-reform headwind, Argentina +22%.

Third-party sellers drive the majority of GMV; first-party selection is an explicit investment line.

Cross-border FXN GMV +60% YoY, with China fulfillment-center volume +170% quarter-on-quarter.

Logistics (Mercado Envíos): 50+ fulfillment facilities; 55% of shipments through the managed network; 77% of fast shipments delivered within 48 hours; 225M same/next-day orders in the quarter (+38%).

Brazil distribution centers doubled from 10 to 21 under a R\$23B plan, cutting unit shipping cost 17% YoY in local currency; a \$3.4B Argentina investment plan (logistics/tech/fintech) was announced in March 2026.

Fintech (Mercado Pago): TPV \$101B (+56% USD) — the first \$100B+ quarter — on 5.2B transactions (+44%); 88M monthly active users (+30%); \$23B of assets under management (+68%). The majority of TPV is off-platform (wallet, QR, bill pay, transfers). Acquiring TPV \$64B (+44%) with market-share gains in every market; 1.4M active POS devices in Mexico — as many as all incumbent banks combined.

Credit (Mercado Crédito): portfolio above \$16B (+75% USD); credit-card book \$7.7B (+91%) with 2.6M cards issued in the quarter. Asset quality is the bright spot: 15–90-day NPLs of 7.0% overall / 4.6% on cards (near historic lows) and net interest margin after losses (NIMAL) recovered to 21% from 18% in Q1. The watch item: provisions for doubtful accounts doubled YoY in Q1 2026 (\$1.24B) — the fastest-growing expense line.

Advertising (Mercado Ads): revenue +73% USD YoY, crossing 10% of Latin American digital ad spend for the first time; AI tools (WhatsApp-based AI Advisor, AI budget orchestrator with +63% QoQ adoption) are lowering the SMB entry barrier.

Loyalty (MELI+): subscription tiers in Brazil at R\$9.90 / R\$19.90 / R\$74.90 per month, bundling free shipping, cashback up to 5%, boosted yield (up to 140% of CDI), and streaming (Disney+, Netflix, HBO Max, Apple TV+ at the top tier).

5. Product evaluation: how each line makes money

MercadoLibre monetizes through **five distinct pricing models** — take-rate, transaction fee, interest spread, auction advertising, and subscription — which is the core of its resilience: no single fee lever determines the P&L;

5.1 Marketplace — take-rate model (Brazil, 2026)

No listing fee; commission is a final-value fee by ad tier and category. Since March 2026 the old fixed per-unit fee (~R\$6.75 on items under R\$79) was replaced by a variable fee across 29 weight bands × 8 price bands, and since June 2025 free shipping applies from R\$19 (was R\$79) — an explicit weapon against Shopee/Temu in low-ticket categories. Blended commerce take rate in Q2 2026 was ~26.5% (\$5.8B commerce revenue / \$21.9B GMV), but

that includes 1P sales, shipping fees, and ads — it is not the pure marketplace commission.

Tier / fee	MELI Brazil	Amazon (ref.)	Shopee BR (ref.)
Clássico listing commission	10–14%	~15% referral	~12–14%+
Premium listing commission	15–19% (incl. up to 12x interest-free)	—	—
All-in with fulfillment/payments	High end; payments + shipping subsidy bundled	~30%+ with FBA	Lower; seller bears more

Assessment: MELI's take rate sits at the high end, but the bundle (payments included, subsidized shipping, highest conversion in LatAm) justifies it — evidenced by 45% items-sold growth. The risk is regulatory or competitive pressure on the fee stack, as seen in the targeted take-rate cuts for competitively-priced sellers in 2026.

5.2 Mercado Pago — transaction-fee + float model

Product	MELI pricing (Brazil, Sep 2026)	Competitor check
mPOS / acquiring — debit	~1.25%	PagBank 1.99%; Ton 0.57% (promo); InfinitePay 0.75%
mPOS — credit, lump sum	~3.08%	PagBank 4.99%
mPOS — credit 12x	~11.89%	Conta PJ bands up to 22.59%
Pix acquiring	~0.49%	PagBank 0.99%
Online checkout D30 / D0	~3.99% / ~4.98%	Market-standard bands
Seller-funded installments 2–6x / 7–12x	3.5–4.5% / 4.5–5.5%	Core of LatAm e-commerce conversion
Wallet monetization	Float on \$23B AUM; interchange; withdrawal & asset-mgmt fees	Pix (42% of BR e-com) is the structural threat

Assessment: mid-pack on debit, premium on installments — compensated by ecosystem lock-in and the best credit underwriting data in LatAm fintech. Hardware (Point Smart 2, mPOS line) is sold with no rental or monthly fee; the company targets 10% of Brazil's card-machine market. The structural risk is Pix: 42% of Brazilian e-commerce already bypasses cards, and bank-launched Pix Parcelado attacks the installment economics directly.

5.3 Mercado Crédito — interest-spread model

Revenue is net interest margin after losses. Benchmark unsecured rates (Brazil central bank, Aug 2026): **Mercado Crédito 178.69% p.a.** vs Nubank 103.37% vs PicPay 213.69% (Selic benchmark 14%). MELI prices wide of Nubank — it lends further down the risk curve, funded by superior payments data — and earns a 21% NIMAL. This is the highest-return, highest-risk line: a \$16B book growing 75% into a Brazilian consumer showing rising delinquency (neobank card delinquency 20.3% in 2025 vs 7.7% in 2021, per Equifax BoaVista). Underwriting quality here is the single biggest swing factor in the investment case.

5.4 Mercado Ads — auction model

CPC auction for Product Ads (seller sets daily budget and target ACOS; ranking by bid × quality score; charged only per click) plus **impression-based** pricing for brand/display/video. No published absolute CPCs — pricing is category-auction-driven. At +73% growth and >10% of LatAm digital ad spend, this is the highest-margin incremental dollar in the company; Amazon's ad business (now ~8% of its revenue at ~70%+ margins) is the template for where this goes.

5.5 MELI+ — subscription model

Three tiers (R\$9.90 / R\$19.90 / R\$74.90 per month) bundling free shipping, cashback, boosted yield (105–140% of CDI), and streaming content. Classic Prime-style flywheel: the subscription subsidizes shipping, which drives frequency, which drives ad and credit monetization. Early-stage but strategically load-bearing — it is the retention

moat against Amazon Prime.

5.6 Mercado Shops & insurtech

Shops (white-label SMB storefronts, integrated with Pago and Envíos) and insurtech fees appear in filings but carry no separate 2026 scale disclosure — we treat them as ecosystem enablement layers, not standalone P&Ls, and assign them no explicit valuation weight.

6. Growth drivers and moat

Moat sources, ranked: (1) **Two-sided network effects with a fintech kicker** — 89M commerce buyers and 88M Pago MAUs, with ecosystemic users the most valuable cohort on both sides. (2) **Logistics density** — 50+ fulfillment centers, 95%+ managed-network penetration, and unit shipping costs down 17% in Brazil: a scale economy competitors cannot replicate without matching the capex. (3) **The fintech flywheel** — payments data → underwriting edge → credit → engagement; the majority of Pago TPV is now off-platform, i.e., an independent financial-services franchise. (4) **Brand** — LatAm's #1 e-commerce brand; 30 straight quarters above 30% growth. (5) **AI productivity** — AI search architecture lifting conversion across the five largest sites; AI agents reviewing 500k+ code submissions.

Growth drivers ahead: (a) e-commerce penetration still low-double-digits in LatAm with Mexico at 16–18% and rising; (b) credit portfolio expansion at 21% NIMAL; (c) advertising — the purest margin-accretive line, just getting started; (d) off-platform acquiring (+42% FXN, share gains in all markets); (e) cross-border trade (+60% FXN GMV, China fulfillment +170% QoQ); (f) AI-driven conversion and monetization. Consensus embeds +39.5% / +25.5% / +22.4% revenue growth for 2026–28 — our base case (~22.5% five-year CAGR) is deliberately set *below* that trajectory.

7. Competition

Commerce — Brazil: Mercado Livre holds ~40% of retail e-commerce (EMarketer 2026) vs Magazine Luiza ~10%. Amazon is expanding Prime and logistics; Shopee owns low-ticket C2C; cross-border Shein/Temu/Alibaba pressure the value tier (Temu matched Amazon's 24% share of global cross-border in 2025). Notably, MELI signed a September 2026 partnership listing ~27,000 Magalu/KaBuM products on its marketplace — co-opetition that widens selection while Magalu fulfills. The import-tax regime is the swing variable: Brazil zeroed the 20% federal tax on sub-\$50 imports in May 2026 (MP 1.357/2026), with reintroduction on the table — a direct input to cross-border competitiveness.

Commerce — Mexico: the world's fastest-growing online retail market (+20% in 2024 to MX\$790B; 67M online shoppers). Amazon leads traffic (121M monthly visits vs MELI's 99M) and Temu briefly led in Q2 2025, but **Amazon + Mercado Libre control 85% of the seller market** (COFECE, Sep 2025 — competition concerns noted, no sanctions). 82% of surveyed Mexican consumers name Mercado Libre their first product-search destination.

Fintech: Nubank (100M+ customers, largest digital bank in the Western Hemisphere) is the primary challenger, pricing credit far tighter (103% vs MELI's 179% p.a.) — a cleaner book, a narrower spread. **Pix** is the structural force: 42% of Brazilian e-commerce, growing, with Pix Automático and bank Pix Parcelado compressing Pago's installment moat. PagSeguro/PagBank (30M+ accounts) and Cielo contest acquiring; Itaú/Bradesco/PicPay/Inter/C6 contest digital banking. MELI's answer: full banking licenses in Mexico and Brazil (in process, early 2026) to lower funding costs, and underwriting data no competitor can match.

Net assessment: MELI is the share leader in commerce and a top-three player in fintech acquiring/wallets in its core markets, fighting well-capitalized rivals on both fronts. The margin sacrifice in 2026 is the cost of that fight — rational, but it means competitive intensity, not just investment timing, caps near-term earnings.

8. Future projection

MELI issues no annual guidance; the table below is third-party consensus (Sep 2026) against our scenario endpoints.

Fiscal year	Revenue (cons.)	YoY	EPS (cons.)	EBIT margin (cons.)	Our scenario rev. range
2026E	~\$40.3 bn	+39.5%	~\$41.00	~7.8%	—
2027E	~\$50.6 bn	+25.5%	~\$60.2	~8.9%	—
2028E	~\$61.9 bn	+22.4%	~\$67.6	~9.9%	—
2031E (our Y5)	Bear \$67.5 / Base \$96.9 / Bull \$115.7 bn	—	—	—	13.9% / 22.5% / 26.9% CAGR

Sources: refcell/capital consensus table (~Sep 24, 2026), Zacks detailed estimates, dev.stocks.news quarterly EPS. Our base case tracks the consensus revenue path but assumes a slower margin recovery — the explicit source of our below-Street fair value.

Quarterly cadence: consensus expects earnings growth to re-accelerate in H2 2026 (Q3'26 EPS ~\$9.25–\$9.56, Q4'26 ~\$11.13) after Q2's -15.7% YoY decline — the Q3 print (expected early November 2026) is the next catalyst and the key test of the reinvestment thesis.

9. Risks

FX and translation (High). Reports in USD, earns in BRL/ARS/MXN. Argentina is hyperinflationary-accounting (USD functional currency); the peso sits near ~1,485/USD with ~17% further depreciation expected in 2026. BRL volatility is the largest single translation driver of reported growth.

Argentina macro (Medium-High). Disinflation is real (1.7% m/m in Aug 2026, annual 33.5%) but poverty rose to 32.3% in H1 2026 and consumption is 'challenging' per management — a weak backdrop for both GMV and credit.

Credit quality (High). A \$16B+ book growing 75% into a stressed Brazilian consumer. NPLs are near historic lows today (7.0% / 4.6% card) and NIMAL recovered to 21%, but provisions doubled YoY in Q1 2026 and neobank industry delinquency has nearly tripled since 2021. A regional downturn would hit earnings twice: higher losses and slower TPV.

Regulatory (Medium-High). BCB scrutiny of fintech lending; Pix ecosystem changes (Automático, bank Pix Parcelado); Mexico's 2026 tax reform (already a GMV headwind); Brazil's cross-border import-tax regime in flux; COFECE antitrust overhang in Mexico.

Competition (Medium-High). Amazon (deeper pockets, Prime, logistics build-out), Shopee (price), Temu/Shein (cross-border), Nubank/NuPay (fintech). The -550 bps margin compression in Q2 2026 is partly the cost of this fight.

Valuation / multiple (Medium). 47x TTM earnings and 31x forward leave no room for execution slips; the stock fell 31% in twelve months on far less than a thesis break. Our reverse-DCF shows perfection is priced.

10. Recommendation

REDUCE — twelve-month fair value \$1,119 (current \$1,696.56; -34.0%). This is a capital-cost call, not a business call: MercadoLibre is arguably the best emerging-markets compounder in public markets, and the thesis is untouched — what changed is the price of Latin American capital. Addendum B's +200bp LatAm country-risk premium turns the v2 note's -12.5% mild overvaluation into -34.0%. Our work says the market pays for ~18% ten-year growth with no margin of safety; at a 14% base discount that growth is worth \$1,106.57, not \$1,697. The bull (\$2,146.62) still clears the price — so this is REDUCE, not SELL: own less of it, do not own none of it. The downside (bear DCF \$116.16; LatAm fintech comps imply far lower, though pure-fintech comps are rejected as the wrong peer set) is wider than the near-term upside.

What would change our mind:

Upgrade to HOLD/BUY: a pullback toward \$1,106 (base-case DCF territory, ~-35% from here), or Q3/Q4 2026 prints showing the reinvestment cycle bending back toward margin expansion without growth deceleration — i.e., evidence the 5–6 points of 'deferred' operating margin are real and recoverable; or LatAm macro stabilization (Selic easing, BRL strength) that would argue the 200bp CRP is too punitive.

Bull case (\$2,147): credit NIMAL holds above 20% while the book keeps compounding, ads scale toward Amazon-like margins, and FX cooperates — the bull DCF \$2,146.62 and Street's \$2,272 average both live here.

Downgrade to SELL: NPLs inflecting up with provisions accelerating, Brazil import-tax or Pix-regulation shocks to the take rate, or sustained share loss to Amazon/Shopee in Brazil/Mexico.

Positioning: reduce into strength; a core EM-growth holding for patient capital — sized for High risk (FX + credit + regulatory), accumulated only on weakness toward base-case DCF. Not a trading long into the November Q3 print without a margin of safety.

Key sources: company Q2 2026 release via Morningstar/Business Wire (2026-08-05); MELI FY2025 filings (stocktitan.net); Q1 2026 earnings transcript (Motley Fool, 2026-05-07); EMarketer Brazil e-commerce (Sep 2026); COFECE via dig.watch/PYMNTS (Sep 2025); EBANX/PCMI via GlobeNewswire (2026-01-15); Reuters on Brazil fintech credit stress (2026-09-18); BCB rate data; analyst targets via stockanalysis.com / MarketBeat / Public.com (Sep 2026); multiples via Yahoo Finance (Oct 2, 2026). Full source list with dates is retained in the research file.

Disclosures: independent research-style analysis for informational purposes only; not investment advice or a recommendation to buy, sell, or hold any security. Estimates are the author's, calibrated to public filings and third-party consensus as cited. Emerging-market equities involve currency, political, and regulatory risks; fintech lending involves credit risk.